

IN WHAT LANGUAGE A TRUST MUST BE DECLARED.

A PERSON may declare a trust either directly or indirectly: the former by creating a trust *eo nomine*, in the form and terms of a trust; the latter, without affecting to create a trust in words, by evincing an intention, which the Court will effectuate through the medium of an implied trust (1).

SECTION I.

OF DIRECT OR EXPRESS DECLARATIONS OF TRUST.

1. **General rule.** — In creating a trust, a person need only make his meaning clear as to the interest he intends to give, without regarding the technical terms of the common law in the limitation of legal estates. An equitable fee may be created without the word “heirs,” and an equitable entail without the words “heirs of the body” (*a*), provided words be used which though not technical *are yet [*109]

(*a*) See Shep. Touch. by Preston, 108.

(1) **Distinction between Implied Trusts, Trusts by Operation of Law, and Constructive Trusts.** — The terms *Implied Trusts*, *Trusts by Operation of Law*, and *Constructive Trusts* appear from the books to be almost synonymous expressions; but for the purposes of the present work the following distinctions, as considered the most accurate, will be observed: — An *implied trust* is one declared by a party not directly, but only by implication; as where a testator devises an estate to A. and his heirs, *not doubting* that he will thereout pay an annuity of £20 per annum to B. for his life, in which case A. is a trustee for B. to the extent of the annuity. *Trusts by operation of law* are such as are not declared by a party at all, either directly or indirectly, but result from the effect of a rule of equity, and are either — 1. *Resulting trusts*, as where an estate is devised to A. and his heirs, upon trust to sell and pay the testator's debts, in which case the surplus of the beneficial interest is a resulting trust in favour of the testator's heir; or, 2. *Constructive trusts*, which the Court elicits by a construction put upon certain *acts* of parties, as when a tenant for life of leaseholds renews the lease on his own account, in which case the law gives the benefit of the renewed lease to those who were interested in the old lease.